3.4.3 Technology in operations

Unit 3.4 Operational management · 6 key points

- **Uses of technology:** automation, robotics, design software, stock control systems
- **Benefits:** higher productivity, consistent quality, lower unit costs at high volume
- **Drawbacks:** high initial cost, training, breakdowns, staff resistance, job losses
- **Effect on costs:** raises fixed costs but can lower variable cost per unit
- **Value:** depends on volume of output and how fast the technology goes out of date
- **Trap:** technology only lowers unit costs if output is high enough to spread its cost